General Government

Where

GFCE stands for Government Final Consumption Expenditure.

8. Gross Disposable Income of Households (GDIH)

The Gross Disposable Income of Households can be arrived at from Gross National Disposable Income by deducting Gross Disposable Income of Government and Gross Savings of All Corporations.

GDIH = GNDI – GDIG – Gross Savings of All Corporations

The above calculation of national income is based on output method. The national income can be calculated based on expenditure method too.

Expenditure Method

The calculation of GDP above was by gross value added method or output method and GNI was by income method. The GDP can be calculated by expenditure method. As seen in the flow of income, output is equal to expenditure. Hence, GDP can be calculated by expenditure method as well.

The income earned is used for consumption and savings. The total of these should be equal to income.

Income = Consumption expenditure + Savings

The consumption expenditure is done by both private and government. Savings are ultimately used for investments in fixed assets and financial assets. Investments in fixed assets and financial assets put together are called capital formation.

So the above formula can be rewritten as follows: